Check Point Software (CHKP)

$134.23 (Stock Price as of 08/13/2026)

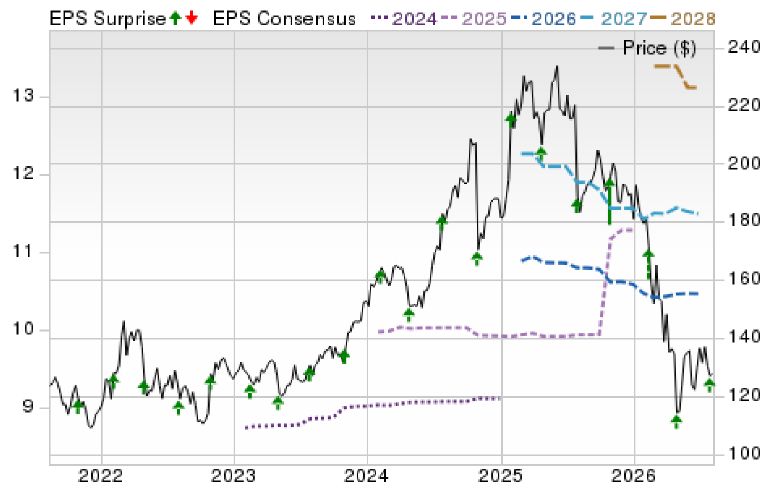
Price Target (6-12 Months): **$141.00**

Long Term: 6-12 Months	**Zacks Recommendation:** (Since: 04/05/21) Prior Recommendation: Underperform	**Neutral**
Short Term: 1-3 Months	**Zacks Rank:** (1-5) Zacks Style Scores: Value: C | Growth: F | Momentum: F	**3-Hold** VGM:F

Summary

Check Point's subscription transition continues to improve revenue visibility, supported by demand for email security, exposure management and AI security. The new AI Network Firewall and broader AI Defense Plane extend its prevention-first platform into emerging enterprise use cases. Deferred revenues and remaining performance obligations are rising, while substantial liquidity supports product investment and buybacks. However, firewall appliance demand remains weak, and product revenues declined again as the go-to-market reset delayed large deals. Management expects the third quarter to mark the trough and a fourth-quarter recovery to preserve full-year guidance, but the outlook depends on a back-end-loaded pipeline. Higher sales capacity and AI investment may also constrain margins before revenue benefits emerge in 2027.

Price, Consensus & Surprise[1]



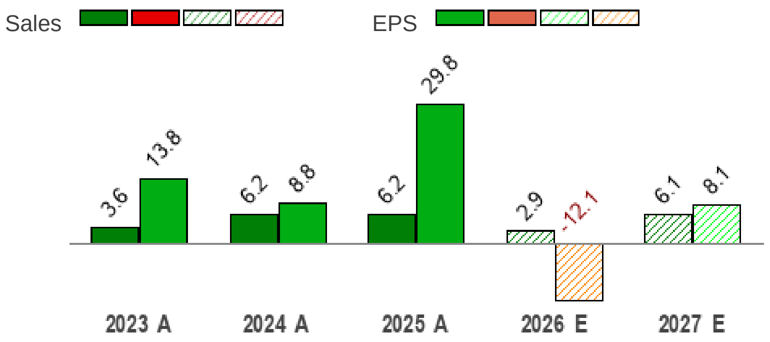
Data Overview

52 Week High-Low	**$210.66 - $112.23**
20 Day Average Volume (sh)	**1,330,475**
Market Cap	**$13.7 B**
YTD Price Change	**-27.7%**
Beta	**0.49**
Dividend / Div Yld	**$0.00 / 0.0%**
Industry	**Security**
Zacks Industry Rank	**Top 10% (24 out of 247)**

Last EPS Surprise	**4.1%**
Last Sales Surprise	**-0.2%**
EPS F1 Est- 4 week change	**0.0%**
Expected Report Date	**10/27/2026**
Earnings ESP	**-0.5%**

P/E TTM	**10.8**
P/E F1	**12.8**
PEG F1	**NA**
P/S TTM	**5.0**

Sales and EPS Growth Rates (Y/Y %)[1]



Sales Estimates (millions of $)[1]

	Q1	Q2	Q3	Q4	Annual*
2027	706 E	718 E	726 E	827 E	2,975 E
2026	668 A	674 A	674 E	782 E	2,804 E
2025	638 A	665 A	678 A	745 A	2,725 A

EPS Estimates[1]

	Q1	Q2	Q3	Q4	Annual*
2027	2.65 E	2.71 E	2.77 E	3.19 E	11.30 E
2026	2.50 A	2.55 A	2.50 E	2.97 E	10.45 E
2025	2.21 A	2.37 A	3.94 A	3.40 A	11.89 A

*Quarterly figures may not add up to annual.

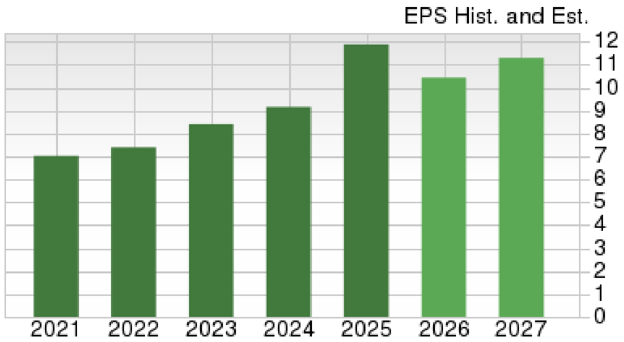
1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 08/13/2026.
2) The report's text and the price target are as of 08/14/2026.

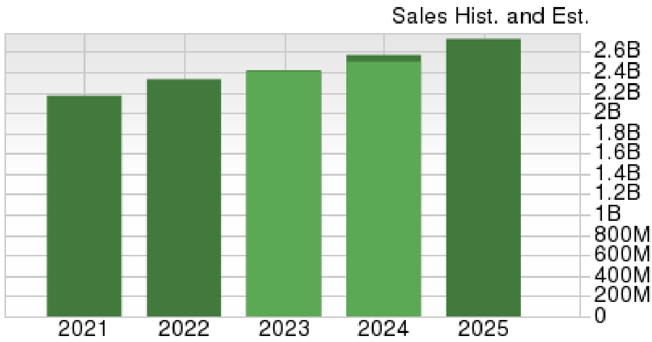
Overview

Headquartered in Tel Aviv, Israel, Check Point Software Technologies Ltd. provides cybersecurity solutions worldwide and reports protecting more than 100,000 organizations. The company offers software and integrated hardware and software products that secure hybrid networks, multi-cloud environments, digital workspaces and AI systems. Its platform uses appliances, software and cloud services.

Check Point entered the industry with FireWall-1 and its stateful packet inspection technology. Stateful Inspection, invented and patented by Check Point, runs on a firewall or PC and maintains connection context to support traffic screening decisions across relevant communication layers. This approach supports policy enforcement while permitting legitimate communications.

The company has expanded beyond traditional firewalls into a broader enterprise security platform organized around four strategic pillars. Hybrid Mesh Network Security protects distributed networks and gateways. Workspace Security covers users, endpoints and email. Exposure Management helps customers prioritize vulnerabilities and automate remediation. AI Security is designed to protect enterprise AI adoption across users, applications and agents. The Infinity Platform connects these capabilities through shared threat intelligence, prevention tools and centralized management. Check Point also uses ThreatCloud AI and more than 100 AI agents to support threat prevention.





As of 08/13/2026

Check Point's products are typically deployed to protect traffic between internal networks and the Internet, as well as across segmented internal, partner and cloud environments. Its management tools allow customers to define security policies, coordinate enforcement and manage security complexity across multiple locations and vendors. The company is extending unified management to support an open ecosystem architecture across multivendor environments.

Check Point sells primarily through channel partners, including distributors, resellers, value-added resellers, system integrators and managed service providers. It operates across the Americas, Europe, and the Asia-Pacific, Middle East and Africa regions. In second-quarter 2026, the Americas and EMEA each contributed 44% of revenues, while Asia-Pacific contributed 12%.

As of 08/13/2026

Reasons To Buy:

Check Point's expanding AI platform, recurring revenue model, growing backlog, financial strength and disciplined capital returns support sustainable long-term growth.

- Check Point is extending its platform beyond traditional firewalls into email security, exposure management and AI security. In second-quarter 2026, these emerging technologies produced more than 40% ARR growth and more than 35% calculated billings growth year over year. The company also launched the AI Network Firewall as part of its AI Defense Plane, giving customers visibility and control over prompts, agents and model interactions. Management said demand for AI capabilities is expanding faster than its specialist coverage, supporting additional hiring and a broader enterprise funnel over time.

- Check Point's expanding backlog provides strong visibility into future revenue, reinforcing its long-term investment appeal. In the second quarter of 2026, Remaining Performance Obligation (RPO) increased 7% year over year to $2.55 billion, while deferred revenue also rose 7% to $2.03 billion, reflecting a growing base of contracted business yet to be recognized as revenue. Management maintained that demand for subscription offerings and emerging technologies remains strong, supporting continued backlog growth and improving revenue predictability. This expanding pipeline strengthens confidence in the company's ability to generate stable, recurring revenues over the long term.

- Check Point's subscription business continues to be a key long-term growth driver, supported by rising demand for AI security and other emerging technologies. In the second quarter of 2026, security subscription revenue increased 12% year over year to $333 million, outperforming overall revenue growth. The company indicated that subscription revenue growth was fueled by strong demand for email security, Continuous Threat Exposure Management (CTEM) and AI security, with these emerging offerings becoming the primary drivers of revenue expansion. The growing mix of recurring subscription revenue enhances revenue visibility and strengthens the company's long-term business model.

- Check Point's cash generation and liquidity provide room to fund product development, acquisitions and shareholder returns while the sales model is being rebuilt. The company ended second-quarter 2026 with $4.2 billion in cash, marketable securities and short-term deposits. Adjusted free cash flow was $161 million, or 24% of revenues, and management maintained its full-year range of $1.15-$1.25 billion. Check Point also repurchased about 2.5 million shares for $325 million during the quarter and expanded its authorization by $2 billion, preserving capital-return capacity alongside investment in AI and sales expansion.

Reasons To Sell:

Slow revenue growth, rising costs, delayed large deals and a lengthy transition toward AI-driven products create execution risks and may limit Check Point's near-term growth potential.

- Check Point's revenue growth remains subdued despite strong momentum in newer subscription offerings, raising concerns about its long-term growth trajectory. Total revenue increased just 1% year over year in the second quarter, as robust 12% subscription revenue growth was largely offset by a 14% decline in product revenue caused by weaker demand for firewall appliances. Management also expects similar product weakness in the third quarter, indicating that emerging technologies have not yet scaled enough to compensate for softness in the legacy business. This limited top-line acceleration may constrain long-term shareholder returns if the transition takes longer than expected.

- Check Point competes across network security, SASE, cloud, email, exposure management and AI security, where customer needs are shifting quickly. Emerging technologies grew more than 40% in ARR during second-quarter 2026, but they still must offset weakness in the larger appliance base. The company is also only now expanding SASE specialists and launching its AI Network Firewall. Management expects some AI infrastructure opportunities to emerge in 2027, which leaves a timing gap before newer products can materially reshape the revenue mix or counter faster-moving rivals.

- Check Point's profitability faces increasing pressure from rising operating costs as it invests heavily in future growth. In the second quarter, gross margin declined slightly due to higher memory costs, while operating expenses increased because of a larger workforce and continued investments in AI security and sales and marketing initiatives. Although these investments are intended to strengthen the company's long-term competitive position, they could weigh on margins if revenue growth remains modest or the expected returns take longer to materialize, creating a risk to future earnings expansion.

- Check Point expects several large customer deals to shift from the third quarter into the fourth quarter of 2026, creating greater uncertainty around near-term revenue growth. The company stated that these delayed contracts would negatively impact appliance revenue and weaken third-quarter results, while leading to comparatively higher revenue figures towards the end of the year. The company attributed the delay partly to disruption from its go-to-market reorganization, although it remains optimistic about a stronger fourth-quarter pipeline. For investors, this back-end-loaded sales profile increases execution risk, as any further delays could weigh on revenue growth and financial performance.

Last Earnings Report

Check Point Q2 Earnings Beat Estimates, Revenues Increase Y/Y

FY Quarter Ending	12/31/2025
Earnings Reporting Date	Jul 30, 2026
Sales Surprise	-0.19%
EPS Surprise	4.08%
Quarterly EPS	2.55
Annual EPS (TTM)	12.39

Check Point Software Technologies reported second-quarter 2026 non-GAAP earnings of $2.55 per share, which beat the Zacks Consensus Estimate of $2.45 by 4.08%. The bottom line increased 8% year over year.

Total revenues came in at $674 million, up 1% from the year-ago period but missing the consensus mark of $674.89 million by 0.19%.

CHKP's Q2 Revenue Mix Shows Subscription-Led Growth

CHKP continued to lean on recurring revenue streams in the quarter. Security subscription revenues climbed to $333 million, up 12% year over year, supporting the broader shift toward software-driven security consumption.

Product demand remained under pressure. Products and licenses revenues decreased to $113 million, down 14% year over year, reflecting continued lower demand for firewall appliances.

Software updates and maintenance revenues decreased 3% to $228 million on a year-over-year basis. Management noted that go-to-market execution is improving and that sales capacity is being expanded to capture growing demand for AI security offerings, even as the appliance business continues to face headwinds.

CHKP's Backlog Improves Despite Flat Billings

Check Point ended the quarter with total deferred revenues of $2.03 billion, up 7% year over year, pointing to a larger revenue base already under contract.

Operational indicators were mixed but constructive. Calculated billings were $639 million, essentially flat compared with the prior year period.

Current calculated billings increased 2% year over year to $641 million. Remaining Performance Obligation (RPO) increased 7% year over year to $2.55 billion, indicating an expanding backlog that can underpin future revenue recognition. Emerging technologies, which include AI Security, Email Security and CTEM, delivered over 40% growth in Annualized Recurring Revenue and over 35% growth in calculated billings year over year.

CHKP's Q2 Profitability Details

On a non-GAAP basis, profitability was mixed. Non-GAAP operating income for the second quarter of 2026 totaled $260 million, down 4% year over year. The non-GAAP operating margin contracted roughly 220 basis points from the year-ago quarter to 39%.

Non-GAAP net income increased to $264 million, up roughly 1% year over year. Non-GAAP EPS rose 18 cents from $2.37 in the year-ago quarter to $2.55. The largest reconciling items included $56 million of stock-based compensation, $19 million of amortization of intangible assets and acquisition-related expenses, and $1 million of amortization of the debt discount.

GAAP operating income was $185 million, representing 27% of total revenues and down 9% year over year. GAAP net income was $194 million, down 4% year over year, while GAAP EPS rose 3 cents year over year to $1.87.

Results also benefited from a $28 million reduction in research and development expenses tied to Israel's new R&D tax incentive program, enacted as part of the 2026 budget.

CHKP's Balance Sheet & Cash Flow

Check Point generated lower cash flow in the second quarter compared with the year-ago period. Net cash provided by operating activities was $170 million, down 35% year over year. Free cash flow was $161 million, down 37% year over year, and adjusted free cash flow was $161 million, down 39% year over year, representing 24% of total revenues.

Liquidity remained strong on a sequential basis. As of June 30, 2026, total cash and cash equivalents, marketable securities and short-term deposits stood at $4.2 billion, down 4% from $4.38 billion as of March 31, 2026.

During the second quarter of 2026, the company repurchased approximately 2.5 million shares for roughly $325 million. On May 11, 2026, the board authorized a $2 billion expansion of the ongoing share repurchase program. The increase in overall cash balances year over year to $4.2 billion from $2.9 billion was primarily driven by $1.8 billion in net proceeds from the company's $2 billion convertible senior notes offering.

Recent News

2026

On July 30, Check Point Software announced the AI Network Firewall, designed to close the network's AI blind spot by delivering visibility, governance and protection for AI prompts, agents and model interactions across on-premises, cloud and hybrid environments, integrated with the AI Defense Plane to secure enterprise AI adoption.

On July 1, Check Point Software announced its Cloud Firewall offering is now available on AWS European Sovereign Cloud, enabling organizations to secure sensitive workloads with prevention-first protection while meeting EU data residency and operational autonomy requirements.

On June 22, Check Point Software announced it will embed OpenAI Frontier Cyber Capabilities into Check Point Security Products through the OpenAI Daybreak Cyber Partner Program, enhancing threat prevention, faster remediation and security operations.

On June 17, Check Point Software announced its upcoming integration with Amazon Bedrock AgentCore, extending trusted security controls into agentic workflows with AI behavioral monitoring, AI-native guardrails and deterministic automated enforcement.

On June 16, Check Point Software expanded its partnership with Illumio to deliver protection and resilience against Frontier AI-Powered Attacks through deeper Illumio Segmentation integration, hybrid and multi-cloud security, and breach containment.

On June 10, Check Point Software announced it joined OpenAI's Trusted Access for Cyber Program and Daybreak Initiative. This collaboration provides access to GPT-5.5 for high-stakes defensive security operations.

On May 28, Check Point Software launched Agentic Exposure Validation (AEV) for Exposure Management, introducing AI agents that reason like attackers to validate exploitable exposures, prioritize remediation and help organizations counter autonomous AI-driven cyber threats.

On May 19, Check Point launched its Agentic Network Security Orchestration Platform, enabling autonomous AI-driven network security operations, intent-based policy management, dynamic threat prevention and unified orchestration across complex enterprise environments.

On May 11, Check Point Software Technologies announced a $2 billion expansion of its share repurchase program, extending prior authorization after repurchasing nearly 230 million shares worth $17.4 billion.

On April 30, Check Point announced its Infinity Platform for Government achieved GovRAMP Authorization, extending FedRAMP-certified, prevention-first cybersecurity across U.S. federal, state, and local agencies with unified protection.

Valuation

Check Point shares are down 27.7% in the year-to-date period and 29% over the trailing 12-month period. Stocks in the Zacks sub-industry and the Zacks Computer and Technology sector have gained 85% and 18.3%, respectively, in the year-to-date period. Over the past year, the Zacks sub-industry surged 86.9%, while the sector appreciated 30.7%.

The S&P 500 Index is up 12.8% year-to-date and increased 22.3% in the past year.

The stock is currently trading at 4.7X forward 12-month sales, which compares to 18.85X for the Zacks sub-industry, 6.55X for the Zacks sector and 5.02X for the S&P 500 Index.

Over the past five years, the stock has traded as high as 9.25X and as low as 4.02X, with a 5-year median of 7.1X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our $141 price target reflects 4.94X forward 12-month sales.

The table below shows summary valuation data for CHKP

Valuation Multiples - CHKP

		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	4.70	18.85	6.55	5.02
	5-Year High	9.25	21.44	7.39	5.62
	5-Year Low	4.02	7.59	4.33	3.79
	5-Year Median	7.10	12.51	6.29	5.02
P/B TTM	Current	5.01	16.84	10.77	7.36
	5-Year High	9.34	60.16	11.73	9.09
	5-Year Low	4.22	14.22	6.64	6.54
	5-Year Median	5.76	30.63	9.75	7.98
EV/Sales TTM	Current	4.13	24.42	9.01	5.70
	5-Year High	9.38	27.38	9.03	5.96
	5-Year Low	3.31	9.14	4.23	3.73
	5-Year Median	6.72	14.84	6.93	5.08

As of 08/13/2026 *Source: Zacks Investment Research*

Industry Analysis[1] **Zacks Industry Rank:** Top 10% (24 out of 247)

Top Peers[1]

Company (Ticker)	Rec	Rank
Dell Technologies Inc. **(DELL)**	Outperform	1
Nutanix **(NTNX)**	Outperform	2
CoStar Group, Inc. **(CSGP)**	Neutral	3
Dynatrace, Inc. **(DT)**	Neutral	3
Fair Isaac Corporation **(FICO)**	Neutral	3
Okta, Inc. **(OKTA)**	Neutral	2
Taboola.com Ltd. **(TBLA)**	Neutral	2
Wix.com Ltd. **(WIX)**	Neutral	3

Industry Comparison[1] Industry: Security

	CHKP	X Industry	S&P 500	CSGP	NTNX	WIX
				Industry Peers		
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Outperform	Neutral
Zacks Rank (Short Term)	3	-	-	3	2	3
VGM Score	F	-	-	C	D	C
Market Cap	13.70 B	26.93 B	46.54 B	13.39 B	18.37 B	4.67 B
# of Analysts	15	12	22	5	14	6
Dividend Yield	0.00%	0.00%	1.32%	0.00%	0.00%	0.00%
Value Score	C	-	-	C	F	D
Cash/Price	0.17	0.09	0.03	0.10	0.12	0.27
EV/EBITDA	13.06	42.73	14.99	30.23	61.40	116.85
PEG Ratio	-5.05	2.81	1.85	0.68	1.96	2.12
Price/Book (P/B)	5.01	11.84	3.62	1.69	NA	NA
Price/Cash Flow (P/CF)	11.74	53.41	15.51	22.43	67.46	18.38
P/E (F1)	12.66	48.59	19.17	24.48	31.49	18.72
Price/Sales (P/S)	4.96	9.59	3.16	3.77	6.68	2.19
Earnings Yield	7.78%	2.06%	5.21%	4.08%	3.18%	5.35%
Debt/Equity	0.72	0.16	0.56	0.13	-1.86	-0.65
Cash Flow ($/share)	11.43	3.00	9.68	1.47	1.01	4.36
Growth Score	F	-	-	C	A	C
Hist. EPS Growth (3-5 yrs)	12.47%	35.13%	6.99%	-15.62%	NA	84.63%
Proj. EPS Growth (F1/F0)	-12.11%	27.94%	12.40%	55.17%	17.90%	-41.53%
Curr. Cash Flow Growth	22.44%	16.07%	8.16%	29.00%	63.75%	35.47%
Hist. Cash Flow Growth (3-5 yrs)	6.06%	30.14%	9.18%	3.89%	19.05%	31.46%
Current Ratio	1.67	1.44	1.18	2.21	1.78	0.61
Debt/Capital	41.91%	13.76%	37.17%	11.12%	NA	NA
Net Margin	37.93%	7.95%	12.94%	2.08%	10.03%	-8.19%
Return on Equity	38.80%	4.15%	17.52%	3.74%	-38.96%	-1.61%
Sales/Assets	0.39	0.44	0.54	0.34	0.83	0.85
Proj. Sales Growth (F1/F0)	2.90%	18.27%	7.28%	15.20%	11.60%	13.20%
Momentum Score	F	-	-	D	F	A
Daily Price Chg	3.82%	4.66%	0.65%	8.36%	5.10%	16.45%
1 Week Price Chg	0.54%	9.65%	1.15%	5.15%	6.20%	9.39%
4 Week Price Chg	-1.67%	10.68%	3.52%	8.82%	21.67%	51.66%
12 Week Price Chg	1.90%	39.17%	4.74%	-2.59%	52.05%	44.93%
52 Week Price Chg	-27.57%	51.66%	20.57%	-62.43%	-0.96%	-33.50%
20 Day Average Volume	1,330,475	2,550,756	3,007,051	7,498,449	2,485,699	1,748,713
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	0.03%	0.46%	0.64%	2.66%	0.41%	242.80%
(F1) EPS Est 12 week change	0.03%	8.60%	1.17%	2.66%	16.38%	546.25%
(Q1) EPS Est Mthly Chg	-4.22%	0.00%	0.00%	-11.11%	-2.06%	426.32%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

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Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	C
Growth Score	F
Momentum Score	F
VGM Score	F

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosures

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